



3

OBLIGATION TO HONOUR THE CONTRACT.

Forward as well as futures contracts are both legally binding agreements in the eyes of law. The parties involved in the agreement, the buyer (Long Position holder) and the seller (Short Position holder), are equally obligated to honour the contract as agreed.

4

LOCK AT AN AGREEABLE PRICE

Both forwards and futures contracts have the feature to lock an agreeable price between the parties today on which the transaction would take place on the future date.



5

SUITABLE FOR HEDGERS

Forwards and futures are effective financial instruments for reducing one's exposure to price fluctuations in the near future. They both are suitable for hedging purpose.